



LAST YEAR started on an uncertain note as the threat of tariffs by the then recently inaugurated US administration under President Donald Trump hovered over the global economy and India, raising concerns over trade and growth prospects across the world. In India, private consumption had remained uneven and elevated food prices kept retail inflation stubbornly high all through 2024.

Fast forward to the dawn of this year, and the Indian economy appears to be on a stronger footing, enjoying a so-called Goldilocks phase of high growth and low inflation, largely shrugging off the 50% tariffs the US imposed on Indian exports as well as a series of geopolitical developments that rocked the world over the year.

The Indian economy grew by 6.5% in 2024-25 and is pegged to have expanded at a stronger 7.4% this fiscal, buoyed by a normal monsoon, cuts in income tax and goods and services tax (GST), and lower interest rates. Together these measures are believed to have boosted private consumption demand across urban and rural households and helped offset the impact of the US tariffs to some extent. Easing retail inflation, which averaged about 2.2% in 2025, also gave consumers some respite.

The growth momentum is expected to continue in FY27 as well, with analysts estimating that the economy could expand anywhere between 6.4% and 6.9%.

Echoing the optimism, Christian de Guzman, Senior Vice President at Moody's Ratings, says the agency expects the country to remain the fastest-growing G20 economy in the next two years amid steady but subdued global demand conditions, and despite the downside risks posed by the ongoing tariff uncertainties vis-à-vis the US.

Moody's projects that India's real GDP growth will moderate to 6.4% in FY27 from 7.3% in the current fiscal and has forecast annual average inflation to normalise from the historically low levels of around 2.4% in FY26 to 3.2% in FY27.

"The impact of the US' very

punitive tariff on India will be mitigated by prominent exceptions to some of the country's largest exports, including many pharmaceutical and electronic goods, as well as India's efforts to diversify and expand its trading relationships with other countries," says de Guzman. He adds that domestic demand will remain a more important determinant of India's broader economic performance.

For Union Finance Minister Nirmala Sitharaman and her team preparing the Union Budget 2026-27, which will be presented on February 1, all of this has meant a moment of relative calm, which is a break from the usual firefighting that they are wont to do.

THE REFORM IMPERATIVE

However, scratch the surface and there's still plenty that needs to be done, despite an action-packed 2025 when the Centre went on a reforms drive, rationalising GST, implementing the long-pending Labour Codes, and introducing an Export Promotion Mission to diversify India's trade basket and markets.

For one, industry still remains worried about the external situation with sectors like textiles, leather goods and small and micro industries impacted by the tariffs.

States' finances are also in a precarious condition. High welfare spending has led to a sharp increase in revenue expenditure for many of them, even as capital expenditure, or capex, has been a priority. The GST cuts could add to their pain by reducing revenues. Growth in states' GST collections slowed to 5.2% in the first eight months of FY26, compared with approximately 14% in the corresponding periods of the last two years, says a report by CareEdge Ratings. That was even before the GST cuts were rolled



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SENIOR VICE PRESIDENT, MOODY'S RATINGS